

AI Act Overview

Regulation (EU) 2024/1689 (the EU AI Act): purpose, scope, roles, territorial reach and implementation timeline, with the key implementation dates. Version of 29 September 2026.

Use of this document. This is an internal NormaAI summary written to support consultants when answering client questions. It is not legal advice. It summarises Regulation (EU) 2024/1689. Before a statement goes to a client, check it against the official text on EUR-Lex (CELEX 32024R1689).

1. What the AI Act is

The EU AI Act is Regulation (EU) 2024/1689 of the European Parliament and of the Council of 13 June 2024, laying down harmonised rules on artificial intelligence. It was published in the Official Journal of the European Union on 12 July 2024 and **entered into force on 1 August 2024** (Article 113). It is a regulation, so it applies directly in all EU Member States without national transposition. It is the first comprehensive horizontal legal framework for AI in the world.

Article 1 sets out the purpose: to improve the functioning of the internal market and promote the uptake of human-centric and trustworthy AI, while ensuring a high level of protection of health, safety and fundamental rights (including democracy, the rule of law and environmental protection) against harmful effects of AI systems in the Union, and to support innovation.

The Act takes a **risk-based approach**. The higher the risk an AI system poses to people, the stricter the rules. The Act regulates: (a) prohibited AI practices (Article 5); (b) high-risk AI systems (Chapter III, Articles 6 to 49); (c) transparency obligations for certain AI systems (Article 50); (d) general-purpose AI models (Chapter V, Articles 51 to 56); and (e) measures in support of innovation, such as regulatory sandboxes (Chapter VI). It also sets governance (Chapter VII), post-market monitoring (Chapter IX) and penalties (Chapter XII). The risk tiers are detailed in the document [AI_Act_Risk_Classification](#).

The regulation has 113 articles and 13 annexes. The annexes most often used in client work are Annex I (Union harmonisation legislation for products), Annex III (high-risk use cases), Annex IV (content of technical documentation) and Annex XI and XII (documentation for general-purpose AI models).

2. Key definitions (Article 3)

Term	Meaning under Article 3	Why it matters
AI system (Art. 3(1))	A machine-based system designed to operate with varying levels of autonomy, that may exhibit adaptiveness after deployment and that, for explicit or implicit objectives, infers from the input it receives how to generate outputs such as predictions, content, recommendations or decisions that can influence physical or virtual environments.	Decides whether a tool is in scope at all. Simple rule-based software and traditional statistics are generally outside the definition.
Provider (Art. 3(3))	A natural or legal person, public authority, agency or other body that develops an AI system or a general-purpose AI model, or has one developed, and places it on the market or puts the AI system into service under its own name or trademark, whether for payment or free of charge.	Carries the heaviest obligations, especially for high-risk systems (Article 16).
Deployer (Art. 3(4))	A natural or legal person, public authority, agency or other body using an AI system under its authority, except where the system is used in the course of a personal non-professional activity.	Carries use-related obligations (Article 26) and transparency duties (Article 50(3) and (4)).
Authorised representative (Art. 3(5))	A person located or established in the Union who has received and accepted a written mandate from a provider outside the Union to carry out its obligations.	Non-EU providers of high-risk systems and of general-purpose AI models must appoint one (Articles 22 and 54).
Importer (Art. 3(6))	A person located or established in the Union that places on the market an AI system bearing the name or trademark of a person established outside the Union.	Verification duties under Article 23.
Distributor (Art. 3(7))	A person in the supply chain, other than the provider or the importer, that makes an AI system available on the Union market.	Verification duties under Article 24.
Operator (Art. 3(8))	Umbrella term for a provider, product manufacturer, deployer, authorised representative, importer or distributor.	The Act often addresses obligations to operators generally.
Placing on the market / putting into service (Art. 3(9) and 3(11))	First making available of an AI system or model on the Union market; supply of an AI system for first use directly to the deployer or for own use in the Union for its intended purpose.	Triggers the application dates and the conformity obligations.
General-purpose AI model (Art. 3(63))	An AI model, including where trained with a large amount of data using self-supervision at scale, that displays significant generality and is capable of competently performing a wide range of distinct tasks, and that can be integrated into a variety of downstream systems or applications.	Separate regime in Chapter V (Articles 51 to 56).

3. Who the AI Act applies to (Article 2)

Article 2(1) lists the operators covered. The Act applies to:

- **Providers** placing AI systems on the market or putting them into service in the Union, or placing general-purpose AI models on the Union market, **irrespective of whether they are established in the Union or in a third country** (Article 2(1)(a)).
- **Deployers** of AI systems that have their place of establishment or are located within the Union (Article 2(1)(b)).

- **Providers and deployers established or located in a third country, where the output produced by the AI system is used in the Union** (Article 2(1)(c)).
- **Importers and distributors** of AI systems (Article 2(1)(d)).
- **Product manufacturers** placing on the market or putting into service an AI system together with their product and under their own name or trademark (Article 2(1)(e)).
- **Authorised representatives** of providers not established in the Union (Article 2(1)(f)).
- **Affected persons** located in the Union (Article 2(1)(g)). These are the people whose rights the Act protects.

3.1 Territorial scope in practice

The Act has extraterritorial reach, in the same way as the GDPR. A company in the United States, India or the United Kingdom that sells an AI system to customers in the EU is a provider under the Act. A company outside the EU whose AI system produces outputs that are used in the EU, for example a credit-scoring service used by an EU bank, is also covered under Article 2(1)(c). A provider of a high-risk system established outside the Union must appoint an EU authorised representative before making the system available (Article 22).

3.2 What is excluded from scope

Article 2 excludes several areas. The exclusions most often relevant to client questions are:

- AI systems placed on the market, put into service or used exclusively for **military, defence or national security purposes** (Article 2(3)).
- AI systems or models developed and put into service **for the sole purpose of scientific research and development** (Article 2(6)).
- **Research, testing and development activity** on AI systems or models before they are placed on the market or put into service. Testing in real-world conditions is not covered by this exclusion (Article 2(8)).
- Use by natural persons in the course of a **purely personal, non-professional activity** (Article 2(10)).
- AI systems released under **free and open-source licences**, unless they are placed on the market as high-risk systems, fall under Article 5 (prohibited practices) or Article 50 (transparency) (Article 2(12)). This exemption does not cover general-purpose AI models with systemic risk.
- Public authorities of third countries and international organisations using AI systems in the framework of international cooperation on law enforcement or judicial cooperation, under conditions (Article 2(4)).
- The Act does not affect the GDPR, consumer protection law or product safety law. It applies in addition to them (Article 2(7)).

4. Main obligations at a glance, by role

Role	Main obligations	Where in the Act
Every provider and deployer	Take measures to ensure a sufficient level of AI literacy of staff and others operating AI systems on their behalf.	Art. 4
Any operator	Do not place on the market, put into service or use prohibited AI practices .	Art. 5
Provider of a high-risk AI system	Comply with the requirements of Articles 8 to 15, operate a quality management system, keep documentation and logs, complete conformity assessment, affix CE marking, register the system in the EU database, run post-market monitoring, report serious incidents.	Arts. 16 to 22, 43 to 49, 72, 73
Deployer of a high-risk AI system	Use according to instructions, ensure competent human oversight, monitor operation, keep logs, inform workers, run a fundamental rights impact assessment where required, inform affected persons.	Arts. 26, 27
Provider or deployer of a system that interacts with people or generates synthetic content	Inform people they interact with AI, mark synthetic outputs, label deepfakes, inform people exposed to emotion recognition or biometric categorisation.	Art. 50
Provider of a general-purpose AI model	Technical documentation, information for downstream providers, copyright policy, training-content summary. Additional duties for models with systemic risk.	Arts. 53 to 55
Importer and distributor	Verify conformity, documentation and markings before making a high-risk system available.	Arts. 23, 24

5. Implementation timeline

The AI Act applies in stages (Article 113). The three key dates used in NormaAI guidance are the following.

Date	What applies
August 2025	Prohibited AI practices (Article 5) become enforceable: the penalty regime (Article 99) applies from 2 August 2025, so fines of up to EUR 35 million or 7% of worldwide turnover can be imposed for prohibited practices. The obligations for general-purpose AI models (Articles 51 to 56) and the governance structure (national competent authorities, European AI Office) also apply from this date.
August 2026	High-risk obligations: general date of application of the Act, including the requirements for high-risk AI systems (Articles 8 to 15), the obligations of providers and deployers (Articles 16 to 27) and conformity assessment. The transparency obligations of Article 50 apply from the same date, and so does the Commission's power to fine providers of general-purpose AI models (Article 101).
August 2027	Full enforcement: the obligations for high-risk AI systems that are safety components of products, or products, covered by Annex I (Article 6(1)) apply from 2 August 2027. General-purpose AI models placed on the market before August 2025 must be brought into compliance by 2 August 2027 (Article 111(3)).

5.1 Other application dates in Article 113

Date	What applies
1 August 2024	The AI Act enters into force (Article 113).
2 February 2025	Chapters I and II apply: general provisions, including the AI literacy obligation (Article 4), and the prohibited AI practices (Article 5).
2 August 2025	Chapter III Section 4 (notified bodies), Chapter V (general-purpose AI models), Chapter VII (governance) and Chapter XII (penalties), except Article 101.
2 August 2026	General date of application of the Act, including Article 101 (fines on providers of general-purpose AI models).
2 August 2027	Article 6(1) and the corresponding obligations (high-risk AI embedded in Annex I products).

Check the dates. Dates follow the NormaAI brief (August 2025, August 2026, August 2027). Article 113 of the text sets some application dates more precisely (for example, the Article 5 prohibitions themselves apply from 2 February 2025, and the penalty regime from 2 August 2025), and later amendments of the Act may have changed some dates. Verify every date on EUR-Lex before advising a client.

5.2 Transitional rules for systems already on the market (Article 111)

High-risk AI systems placed on the market or put into service before the application date are covered by the Act only if, from that date, they undergo significant changes in their design. Providers of high-risk systems intended for use by public authorities must comply by 2 August 2030. Providers of general-purpose AI models placed on the market before 2 August 2025 must comply by 2 August 2027.

6. Governance in brief

The Act is enforced at two levels. Each Member State designates **national competent authorities**, made up of at least one notifying authority and at least one market surveillance authority (Article 70). At Union level, the **European AI Office** within the Commission supervises general-purpose AI models and coordinates enforcement, supported by the European Artificial Intelligence Board (Article 65), an advisory forum (Article 67) and a scientific panel of independent experts (Article 68). The details are in the document [AI_Act_Penalties_Enforcement](#).

7. Frequently asked questions

Does the AI Act apply to a company outside the EU?

Yes, if it places AI systems on the EU market, or if the output of its AI system is used in the EU (Article 2(1)(a) and (c)). A high-risk system provider outside the EU needs an authorised representative in the Union (Article 22).

Is our internal use of a third-party AI tool covered?

Yes. A company using an AI system under its authority in a professional context is a **deployer** (Article 3(4)). The AI literacy duty (Article 4) applies to it, and further duties apply if the system is high-risk (Article 26) or subject to Article 50.

When does a deployer become a provider?

Under Article 25, a distributor, importer, deployer or other third party is considered a provider of a high-risk system if it puts its name or trademark on the system, makes a substantial modification to it, or modifies the intended purpose of a non-high-risk system so that it becomes high-risk. Provider obligations then apply to it.

Does the AI Act replace the GDPR?

No. The AI Act applies alongside the GDPR and does not affect it (Article 2(7)). A system can need both a data protection impact assessment and AI Act compliance work.

Are open-source models exempt?

Partly. Free and open-source AI systems are outside the Act unless they are high-risk, prohibited or subject to Article 50 (Article 2(12)). For general-purpose AI models there are lighter duties for open-source models without systemic risk (Article 53(2)).

Are small companies treated differently?

Yes, in some respects. Article 62 provides support measures for SMEs and start-ups, such as priority access to regulatory sandboxes. Article 99(6) applies the lower of the two fine amounts to SMEs.

8. Sources

- Regulation (EU) 2024/1689 (Artificial Intelligence Act), EUR-Lex, CELEX 32024R1689: <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A32024R1689>
- European Commission, AI Act policy page and published summaries and guidance, digital-strategy.ec.europa.eu.